

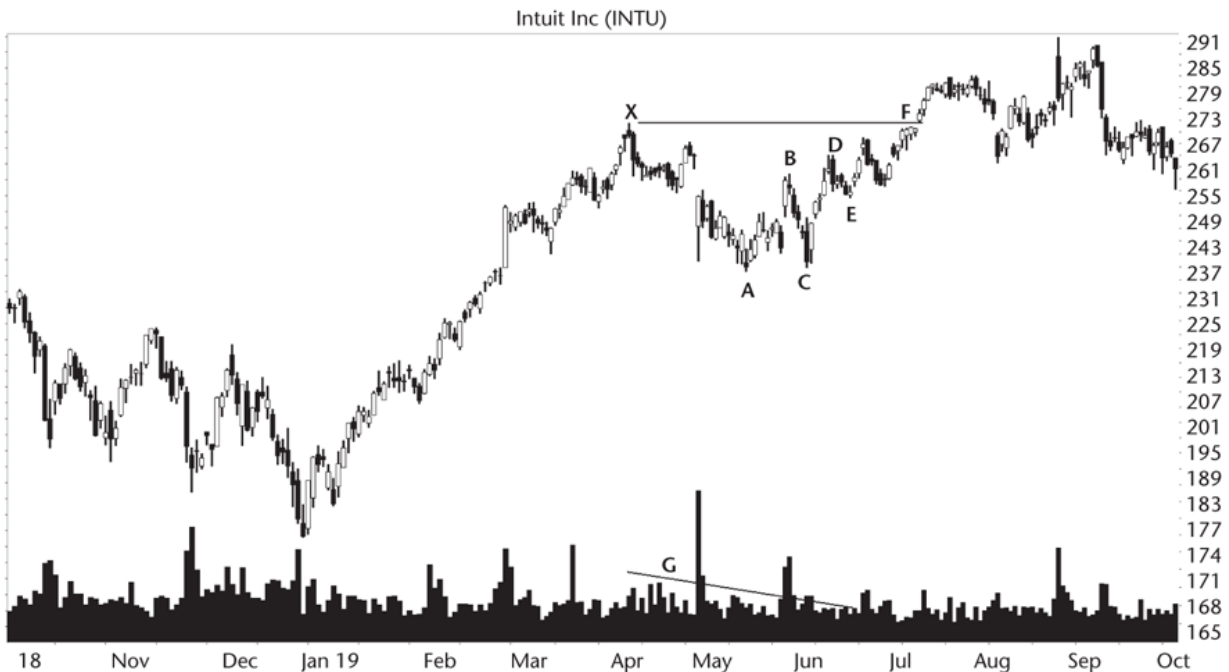


Figure 37.3 The move from D to E is just 4%, making it difficult to short this Gartley profitably.

Maybe the next time you see such a strong push higher (the straight-line run from the December low to X), be cautious about taking a bearish position. There's an old saying that you should avoid shorting stocks making new highs; short those making new lows. The failure of this pattern to make a meaningful drop after turn D is an example. This bearish Gartley is bullish.

Statistics

Table 37.2 shows general statistics for the bearish Gartley. Because the numbers highlight perfect trades, your trading results will vary. I focus on the move after turn D to gauge performance to the ultimate low. The ultimate low is the lowest low before price either climbs by 20% or closes above the top of the Gartley.

Number found. I unearthed 2,975 bearish Gartleys in 1,098 stocks with them appearing from July 1991 to September 2019. Not all stocks covered the entire period, and some no longer trade.

Breakeven failure rate. This is a count of how often the stock fails to drop more than 5% below D. Notice that when the downward direction agrees